assistance and also supplied food grains (PL-480) to meet the scarcity of food (see Indian Foreign Policy under Indira Gandhi page 373). A Joint Commission was also established to explore possibilities of fostering cooperation in economic, commercial, scientific and technological, educational and cultural sectors. Bilateral relations suffered a setback in 1979 due to Soviet invasion of Afghanistan. India refused to rally behind the US and ascribe Soviet Union as an aggressor (see page 374). India also was critical about US supply of arms sell to Pakistan. During the tenure of Ronald Reagan, bitterness increased due to differences over Diego Garcia and India wanted dismantling of the US base in Diego Garcia. India demanded establishment of Indian Ocean as a 'Zone of Peace'. The US refused to supply nuclear fuel to Tarapur Atomic Power Station. Refusal of India to sign NPT and US intent on enforcement of Super 301* and Missile Technology Regime against India further added to bitterness.

It was only during Rajiv Gandhi's tenure that little improvement could be perceived. He visited the United States in June 1985, and struck a rapport with President Ronald Reagan. He, however, took the opportunity and pointed out the lurking dangers of a rapidly nuclearising Pakistan. During the National Front Government, there was further improvement in the Indo-US relations and financial assistance from world agencies like the World Bank and the IMF increased which helped India to tide over the economic crisis caused by the First Gulf War. For the first time also the US agreed to drop its insistence for a plebiscite in Kashmir and resolution of the crisis on the lines of the Simla Accord, 1972. In 1990-1991, the collapse of Soviet Union, the end of Cold War and the economic liberalization of India, the two countries looked afresh at their bilateral relations. During Narasimha Rao's tenure, therefore, despite several irritants both sides tried to move forward with their bilateral relations. Two countries held Joint Naval exercise in May 1992. Prime Minister Narasimha Rao paid an official week-long visit to the US in May 1994, which helped to strengthen ties and was followed by signing of several Memorandum of Understandings (MoUs).

In 1995, following the visits by the US Defence and Commerce Secretaries several agreements were signed. However, US trade law